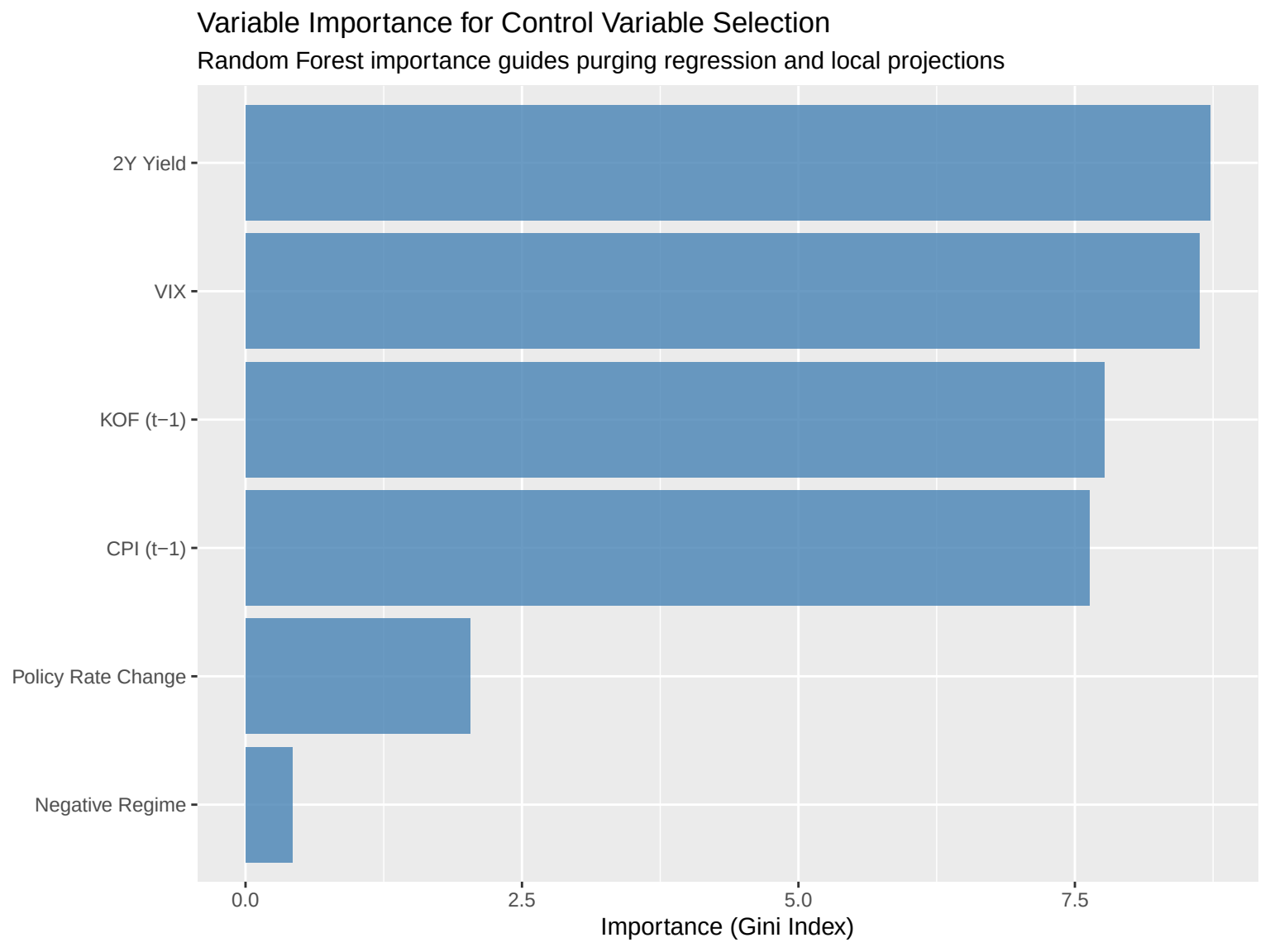
Variable Importance for Control Variable Selection
Random Forest importance guides purging regression and local projections
2Y Yield
VIX
KOF (t−1)
CPI (t−1)
Policy Rate Change
Negative Regime
0.0
2.5
5.0
7.5
Importance (Gini Index)